



PRELUDE
LEARNING & CONSULTANCY

FREE RESOURCE · FLAGSHIP GUIDE

The Capability Readiness Playbook™

A practical guide to diagnosing capability and performance problems before you invest in training, systems or organisational change.

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Who it is for

Leaders, managers, L&D and HR professionals, programme and capability managers, and business owners who have been asked to fix a performance problem and want to be sure they are fixing the right one. It applies in Defence and the wider public sector, in regulated and operational environments, and in commercial organisations of any size.

How to use it

Read chapters 1 to 4 for the thinking behind the method. Chapters 5 to 13 follow the order in which a diagnosis is usually carried out. The worksheets in chapter 14 can be printed and used in a workshop or completed on screen with a PDF editor. You do not need to complete every worksheet: use the smallest set that gives you enough evidence for a defensible decision.

A NOTE ON SCOPE

This playbook sets out principles and practical tools. It is not a substitute for a facilitated review of your organisation, and it does not establish compliance with any standard or regulation. Where a sector has mandatory requirements (for example JSP 822 in Defence, or a professional regulator's standards), those requirements take precedence.

01

What organisational capability means

Capability is an organisation's ability to achieve a defined outcome, to a required standard, repeatedly and under realistic conditions.

That definition matters because it is broader than the skills of the people involved. A team of highly competent individuals can still lack capability if the process they work within is unclear, the system they rely on is unreliable, accountability is split between three managers, or nobody has defined what "good" looks like.

Capability, competence and training are different things

Term	What it describes	Typical question
Capability	What the organisation can reliably achieve, combining people, processes, systems, structure, leadership and resources.	Can we deliver this outcome to the standard required, every time it is needed?
Competence	An individual's demonstrated ability to perform a role or task to a defined standard.	Can this person do the task, to standard, in the real working context?
Training	One of several ways of developing knowledge and skill.	Would building knowledge or skill close the gap we have found?

Training contributes to competence. Competence contributes to capability. Neither relationship is automatic. When performance falls short, the useful question is not "what training do we need?" but "which part of the capability is missing or not working?"

Capability is a system

Capability comes from several elements working together. If any one is missing, the others cannot compensate for long:

- **People:** enough of the right people, with the knowledge, skills and behaviours the work requires.
- **Process:** a clear, workable way of doing the work, with defined standards.
- **Systems and tools:** technology, equipment and information that support the task rather than obstruct it.
- **Structure and roles:** clear responsibilities, authority and hand-offs.
- **Leadership and management:** direction, priorities, feedback and the conditions for people to perform.
- **Governance and assurance:** the means of knowing whether the standard is being met, and acting when it is not.
- **Resources and environment:** time, budget, workload and working conditions that make the standard achievable.

If any part of the capability system is missing, training the people inside it will rarely close the gap on its own.

Why training is not always the answer

Training is easy to commission, easy to count and easy to defend. That is exactly why it is so often chosen before anyone has established what the problem is.

A performance problem is usually reported as a request: “we need a course on ...”, “the team needs refresher training”, “can you build some e-learning?”. The request describes a solution. It does not describe the problem, the cause or the outcome the organisation needs.

When training is the right answer

Training is likely to help when all of the following are true:

- ☐ people do not know how to do the task, or cannot do it to standard, even when conditions are right;
- ☐ they would perform correctly if their life depended on it only after being shown how;
- ☐ the task is performed often enough, or is critical enough, to justify developing the skill rather than providing a job aid;
- ☐ the work environment will allow them to apply what they learn.

When it is unlikely to be enough

Training rarely resolves problems caused by:

Process

Unclear, conflicting or unworkable procedures; standards that are not defined or not shared.

Systems and information

Tools that are slow, unreliable or badly designed; information that is missing, late or hard to find.

Roles and structure

Unclear accountability, overlapping responsibilities, hand-offs nobody owns.

Leadership and incentives

Priorities that conflict with the desired behaviour; feedback that rewards the wrong thing; no consequence for poor performance.

Resources and workload

Not enough time, people or equipment to work to the standard.

Selection and deployment

The wrong people in the role, or the right people deployed on the wrong work.

In most real cases the cause is a combination. A diagnosis that finds a genuine skill gap alongside a process problem and a workload problem is more useful than one that finds only the skill gap, because it explains why previous training did not stick.

A QUICK TEST

If the people concerned were offered a substantial reward to perform correctly tomorrow, could they? If yes, the gap is probably not knowledge or skill. Look at the environment, the process, the incentives and the resources first.

03

Prelude's diagnostic philosophy

Don't start with the intervention. Start with the problem.

Prelude's work rests on a small number of principles. They apply equally to a complex Defence programme and to a growing business.

1. **Diagnosis before intervention.** No course, system, restructure or technology is recommended until the problem it is meant to solve has been defined and its cause understood.
2. **Evidence before assumption.** Findings are labelled for what they are, so decision-makers can see how much weight each one will bear.
3. **Outcomes before outputs.** A completed programme, framework or report is not evidence that performance improved.
4. **Proportionality.** The depth of analysis matches the cost and risk of getting the decision wrong.
5. **The smallest effective combination.** The aim is the least disruptive set of changes that will close the gap, not the most comprehensive programme.

Labelling findings

Label	Meaning	Example
Evidence	Directly observed or supported by data or documents.	Error logs show 40 rejected submissions in March.
Inference	A reasonable conclusion drawn from evidence.	Most rejections share the same missing field, so the form design is a likely cause.
Assumption	Something believed but not yet tested.	Staff have not been shown how to complete the form.
Recommendation	What should happen next, and why.	Redesign the field and test with five users before considering training.

Figures in the example are illustrative.

The Prelude Performance & Capability Cycle

Every engagement, and the book *Training Isn't Always the Answer*, follows the same five-stage cycle. The playbook's chapters map onto it.

STAGE 1 Understand What are we trying to achieve? Agree the outcome, the context and what good performance looks like.	STAGE 2 Diagnose Why isn't it happening now? Gather evidence and separate symptoms from causes.	STAGE 3 Define What needs to be different? Turn the diagnosis into clear requirements.	STAGE 4 Intervene What is the smallest effective combination of changes?	STAGE 5 Prove Did performance actually improve, against the agreed baseline?
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The cycle is a method: it describes the order of work. The Golden Thread in the next chapter connects every element of the work, from the business need to the business outcome, so that nothing is designed that cannot be traced back to a performance requirement. The Capability Diagnostic in chapter 6 shows where to look during the Diagnose stage.

04

The Golden Thread

One unbroken line from business need to business outcome. Every element of an intervention should sit somewhere on it.

1 · BUSINESS NEED	What the organisation needs to achieve or change.
2 · PERFORMANCE OUTCOME	What people need to be doing, differently or better, for that need to be met.
3 · ROLE / TASK	Which roles, and which specific tasks within them, are involved.
4 · CAPABILITY REQUIREMENT	What role holders must be capable of, to the required standard, under real conditions.
5 · INTERVENTION REQUIREMENT	What needs to change for that capability to exist: training, tools, process, resources, management and so on.
6 · LEARNING REQUIREMENT	Where learning is part of the intervention: what people need to learn, find at the point of need, or practise.
7 · OBJECTIVE	The specific, observable performance the learning must produce.
8 · ASSESSMENT	How achievement of the objective will be checked.
9 · PERFORMANCE MEASURE	How change in the real job will be checked.
10 · BUSINESS OUTCOME	How the original business need will be shown to have been met.

Reading the thread in two directions

Top to bottom: a design method

Start with the business need. Define the performance outcome, the roles and tasks involved and the capability they require. Decide what needs to change, and only then, if learning is part of the answer, what people need to learn. Objectives, assessment and measures follow from the links above them.

Bottom to top: an audit tool

Take any element of an existing intervention, such as a module, a policy or a system change, and ask what it connects to. If an activity cannot be traced back to a performance requirement, why is it being done?

Training is only one strand. A process change, a tool or a new measure has its own thread to the same business need; it simply skips the learning requirement.

Prompts for each link

The prompts below are a practical aid for working along the thread. They are not a scoring scheme.

Link	Prompts
Business Need	Is the need written down and agreed by the people who own it? Would they recognise it as their problem?
Performance Outcome	Can we describe the outcome in observable terms, without naming a solution?
Role / Task	Do we know exactly which tasks matter, or are we working from job titles?
Capability Requirement	Is the standard explicit? Are the real conditions of the job described?
Intervention Requirement	Have all eight domains of the Capability Diagnostic been checked, not just knowledge and skill?
Learning Requirement	Is this genuinely a learning need, or information that could be provided when it is needed?
Objective	Could an assessor tell, by watching, whether the objective had been met?
Assessment	Is the assessment as close to real performance as it can practically be?
Performance Measure	What will we look at in the workplace, and is there a baseline to compare it with?
Business Outcome	Who will judge whether the need was met, and with what evidence?

The Golden Thread is set out in full in *Training Isn't Always the Answer* by Jason Smith. It builds on DSAT traceability and benefits mapping.

05

Current versus required performance

A gap can only be measured between two points that have both been defined.

Many improvement efforts describe the current state in detail and the required state in a single aspiration ("better customer service", "improved readiness"). Without a defined standard, there is no way to size the gap, choose an intervention or prove that anything changed.

Writing a performance statement

Describe required performance in three parts, borrowed from established objective-writing practice:

Element	Question	Example
Performance	What must be done, in observable terms?	Complete and submit a safeguarding referral
Conditions	In what circumstances, with what tools or information?	Using the case management system, from a telephone disclosure
Standard	How well, how fast, how accurately?	Within 24 hours, with all mandatory fields complete and no rejection by the receiving team

Describing current performance

Describe current performance in the same terms, with the evidence for it. If no evidence exists, that is a finding in itself: the organisation is not yet able to see the performance it is trying to improve.

Sizing the gap

- **How big is it?** The difference between current and required performance, in the same units.
- **Who does it affect?** All staff, one team, one shift, new starters only?
- **How long has it existed?** A recent change often points to a recent cause.
- **What does it cost?** In money, risk, time, safety, reputation or service quality.
- **What happens if nothing changes?** The do-nothing position is the baseline every option is compared against.

Use **Worksheet 2** to record current and required performance side by side.

06

Finding the capability gap

Once the performance gap is defined, the next question is where it originates. The Capability Diagnostic gives eight places to look before you blame the people.

Work across all eight domains before settling on any of them. Only one, knowledge and skill, is primarily fixed by training, and most real performance problems have causes in two, three or four domains at once. The aim is to avoid the most common diagnostic error: stopping at the first plausible explanation, which is usually the one the original request already assumed.

THE CAPABILITY DIAGNOSTIC: EIGHT DOMAINS TO EXAMINE

Domain	Signs it may be contributing
Knowledge & skill	Experienced and new staff perform differently; errors cluster on tasks people rarely perform; people cannot explain or show the correct method.
Role & expectations	Tasks fall between teams; people say “that’s not my job”; different managers expect different things; nobody can show the written standard.
Process & workflow	Different teams do the same task differently; procedures are out of date or contradict each other; the process has steps nobody can explain.
Tools & technology	Workarounds are common; errors coincide with a system change; people spend time searching for information or waiting for access.
Resources & capacity	Performance drops at busy times; vacancies or absence are high; the standard is unachievable in the time allowed.
Leadership & management	Performance varies by manager more than by individual; priorities change often; little feedback is given; decisions wait for someone with authority.
Motivation & incentives	The desired behaviour is slower, harder or less rewarded than the current one; doing it properly means missing a target; nobody notices either way.
Environment & culture	Shortcuts are tolerated; new starters soon adopt the existing way of working; “that’s how it’s always been done”.

Two further questions sit around all eight domains: who owns the standard and how problems are detected (governance and assurance), and what lies outside the organisation’s control (regulation, suppliers, customers and partners).

The Capability Diagnostic is adapted from Thomas Gilbert’s Behaviour Engineering Model and the wider performance analysis literature, and is set out in *Training Isn’t Always the Answer*.

Use **Worksheet 3** to rate each domain and record the evidence for your view.

07

Root-cause analysis

A symptom tells you where the problem appears. A cause tells you why it happens.

Three practical techniques

Five Whys

Ask “why?” repeatedly until the answer points to something the organisation can change. Five is a guide, not a rule. Stop when the answer is a cause that, if removed, would prevent the problem recurring.

ILLUSTRATIVE EXAMPLE

Problem	Monthly reports are submitted late.
Why?	Team leaders finish them on the deadline day.
Why?	The source data arrives two days before the deadline.
Why?	The finance extract runs on a fixed date set four years ago.
Cause	The reporting timetable and the data timetable were never aligned. Report-writing training would not change this.

Fishbone (Ishikawa) analysis

Draw the problem as the “head” and use the eight domains in chapter 6 as the “bones”. Brainstorm possible causes under each, then test the most likely ones with evidence. The value is in forcing the group to look beyond the first explanation.

The Should We Train? decision tree

A simple filter to apply once a gap has been identified, adapted from Mager and Pipe’s performance analysis:

QUESTION Could they do it now, to standard, under ideal conditions? Test capability, not everyday behaviour: ask people to show you.	IF NO They can’t: there may be a learning need First check information at the point of need, task simplification and practice.	IF YES They can, but don’t: look at the environment Expectations, feedback, obstacles, consequences, leadership and culture.
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Pitfalls

- Accepting the first cause offered, especially by the person who made the request.
- Analysing in a meeting room without speaking to the people who do the work.
- Treating every contributory factor as equally important.
- Blaming individuals for what is a system problem.

08

Gathering evidence

Gather enough evidence to make a defensible decision. Not more.

Sources of evidence

Source	Useful for	Watch out for
Performance and operational data	Sizing the gap; trends; baselines	Data that measures activity rather than outcome
Observation of the work	How the task is really done; workarounds	People behaving differently when watched
Interviews and focus groups	Causes, barriers, context	Hearing only from managers, or only from the loudest voices
Documents and procedures	The intended standard	The difference between the written and the actual process
Incident, audit and complaint records	Where failures occur; risk	Under-reporting; records written to close a case
Surveys	Breadth of views; perception	Low response rates; leading questions
Comparison of high and typical performers	What separates good from average	Assuming high performers' methods are transferable without the same conditions

Triangulate

Look for at least two independent sources that point to the same conclusion before treating it as evidence. Where sources disagree, the disagreement is often the most useful finding.

Keep an evidence register

Record each finding, its source and its label (evidence, inference or assumption). This keeps the analysis honest and lets a sponsor see exactly what each recommendation rests on. **Worksheet 4** provides a template.

HANDLE EVIDENCE WITH CARE

Interview notes, performance data and incident records may contain personal data. Agree in advance how evidence will be collected, stored, anonymised and retained, in line with your organisation's data protection arrangements.

The Capability Readiness Review™

The Capability Readiness Review is the first step before investing in training, consultancy or capability development. It tests how clearly an organisation can answer ten questions that determine whether an intervention is likely to work.

1. What problem are you actually trying to solve?
2. What behaviours need to change?
3. What impact are you trying to achieve?
4. What does success look like?
5. How will success be measured?
6. What evidence supports your current position?
7. Have you tested whether training is the real issue?
8. What organisational barriers exist?
9. What risks exist if nothing changes?
10. What capability is required to achieve the desired outcome?

In a facilitated review, the answers are tested against evidence to establish where the problem sits: in capability, leadership, process, governance, workforce or training, or in a combination of these.

Three levels

Level	What it involves	What it can tell you
Self-assessment (free)	The ten questions answered by you or your team, online or with the printable workbook.	An indicative view of readiness, based only on your own responses.
Facilitated Capability Readiness Review™	A structured review with stakeholder input and evidence-gathering, led by Prelude.	A tested picture of the real problem and a prioritised view of what to do next.
Full diagnostic	A full diagnostic engagement: root-cause analysis across the eight domains, capability mapping and an evidence-based improvement plan.	A defensible basis for investment decisions and a measurable plan.

USE THE WORKBOOK

The free **Capability Readiness Review workbook** contains the ten questions, the scoring method used by the online self-assessment, evidence prompts and an action plan. Download it from prelude-learning.com/resources/.

Where are you now? The Capability Readiness Maturity Model™

Organisations tend to sit somewhere on a five-stage path. Use it to start a conversation, not to award a grade.

#	Stage	Typical characteristics
1	Reactive	Capability is addressed only when something breaks.
2	Compliant	Activity is driven by mandatory requirements and audit.
3	Structured	Frameworks, roles and standards are defined and in place.
4	Measured	Capability and readiness are tracked with evidence.
5	Optimised	Capability is improved continuously against outcomes.

10

Common capability mistakes

Most failed improvement efforts fail for predictable reasons.

Mistake	What it looks like	What to do instead
Prescribing before diagnosing	A course, system or restructure is commissioned in the first meeting.	Agree the outcome and the problem before discussing solutions.
Treating symptoms as causes	"Staff make errors" is recorded as the cause.	Ask why the errors happen and test each explanation.
Counting activity, not outcomes	Success is reported as completions, attendance or satisfaction.	Agree an outcome measure and a baseline before starting.
Governance as box-ticking	Process steps are completed but do not inform decisions.	Use governance to ask and answer the questions that matter.
Buying a catalogue	Learning content is bought against an undefined requirement.	Define the capability required, then source against it.
Ignoring the environment	People are trained and returned to a workplace that prevents the behaviour.	Address process, tools and management alongside any training.
One-size-fits-all	Every role receives the same intervention.	Target the roles, tasks and teams where the gap actually sits.
No owner after go-live	Improvement fades once the project team moves on.	Assign ownership of the standard and the measure before closure.

11

Options appraisal and intervention selection

The aim is the smallest effective combination of changes, not the most comprehensive programme.

Build a long list

For each cause, list every credible way of addressing it, including options outside training:

People

Training, coaching, mentoring, practice, job aids, recruitment or selection changes, redeployment.

Process

Redesign, simplification, standard setting, checklists, removing steps.

Systems and information

Configuration changes, better information at the point of need, automation.

Organisation

Clarifying roles, decision rights, structure, workload balancing, management routines.

Always include **do nothing** and **do the minimum**. They set the baseline every other option must beat.

Appraise the short list

Agree the criteria with the decision-maker before scoring. Typical criteria:

- **Effectiveness:** how directly does it address the cause?
- **Cost:** to implement and to sustain.
- **Time:** how quickly will it take effect?
- **Feasibility:** does the organisation have the capacity and authority to implement it?
- **Risk:** what could go wrong, and what are the dependencies?
- **Sustainability:** will the improvement last once attention moves elsewhere?

Score options against the criteria, but treat the scores as a structured conversation rather than a calculation. Record the reasoning, because that is what the sponsor will need to defend the decision.

Worksheet 5 provides a template.

12

Prioritised improvement planning

A plan turns a recommendation into owned, sequenced and measurable actions.

Prioritise

Plot actions by impact on the outcome and effort to implement. Start with high-impact, low-effort actions to build momentum; plan high-impact, high-effort actions deliberately; question whether low-impact actions are needed at all.

Sequence

Some changes must come first. Training on a new process is wasted if the process is not yet stable. A capability framework is of limited use until roles are agreed. Record dependencies explicitly.

Assign ownership

Every action needs a named owner with the authority to deliver it, a target date and a measure of completion. Every outcome needs an owner who will still be accountable after the project ends.

Plan for sustainment

- Who owns the standard once the change is in place?
- How will new joiners be brought up to the standard?
- What routine will check that the standard is still being met?
- What would trigger a review?

Use **Worksheet 6** to build the plan.

Evaluation and measurement

Decide how success will be measured before the intervention starts, not after.

Agree a baseline

Without a baseline, any later improvement is a matter of opinion. Capture current performance, using the same measure you will use afterwards, over a period long enough to reflect normal variation.

Measure at more than one level

Kirkpatrick's four levels remain a useful structure, provided the higher levels are planned rather than hoped for:

Level	Question	Example measure
1 · Reaction	Did participants find it relevant and usable?	Short post-session feedback
2 · Learning	Did knowledge or skill improve?	Practical assessment against the standard
3 · Behaviour	Is the new behaviour happening in the workplace?	Observation, quality checks, manager review
4 · Results	Did the outcome improve?	The performance measure agreed at the start

For non-training interventions the same logic applies: did the change happen, is it being used, and did the outcome move?

Be careful with attribution

Outcomes are influenced by many factors. Where you can, compare with a group that has not yet received the intervention, track the measure over time, and record other changes that happened in the same period. Report what the evidence supports and no more.

LEADING AND LAGGING MEASURES

Lagging measures (outcomes) tell you whether you succeeded, but only after the event. Leading measures (behaviours, process compliance, early quality checks) tell you whether you are on track. A good evaluation plan includes both.

Worksheets

Six worksheets follow, one per page. They can be printed or completed on screen. Copy them as many times as you need.

Worksheet 1 · Problem definition

What has been requested, and by whom?

What problem is the request intended to solve?

Who experiences the problem?

What evidence confirms it exists?

What is the impact on the organisation?

What outcome would show the problem is solved?

What happens if nothing changes?

Who owns the outcome?

Worksheet 2 · Current versus required performance

Task or outcome	Required performance (performance, conditions, standard)	Current performance	Evidence for current performance	Size of gap

Worksheet 3 · Capability Diagnostic

For each domain, tick how strongly it appears to contribute to the gap, and note the evidence.

Domain	None	Some	Major	Evidence and notes	Label (E / I / A)
Knowledge & skill	☐	☐	☐		
Role & expectations	☐	☐	☐		
Process & workflow	☐	☐	☐		
Tools & technology	☐	☐	☐		
Resources & capacity	☐	☐	☐		
Leadership & management	☐	☐	☐		
Motivation & incentives	☐	☐	☐		
Environment & culture	☐	☐	☐		
Governance & assurance	☐	☐	☐		
External constraints	☐	☐	☐		

E = evidence · I = inference · A = assumption

Most likely root cause(s), and why

What would we need to check to be sure?

Worksheet 4 · Evidence register

#	Finding	Source(s)	Label (E / I / A)	Confidence (H / M / L)	Implication
1					
2					
3					
4					
5					
6					
7					
8					
9					
10					
11					
12					

Worksheet 5 · Options appraisal

Score each option 1 (poor) to 5 (strong) against each criterion. Record the reasoning below the table.

Option	Effectiveness	Cost	Time	Feasibility	Risk	Sustainability	Total
Do nothing							
Do the minimum							
Recommended option and reasoning							
Key risks and dependencies							

Worksheet 6 · Prioritised improvement plan

#	Action	Cause addressed	Priority (H / M / L)	Depends on	Owner	Due	Measure of success
1							
2							
3							
4							
5							
6							
7							
8							
Baseline measure and date							
Review date and reviewer							
Owner of the standard after implementation							

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Working with Prelude

Prelude Learning & Consultancy is an independent UK consultancy working across capability consulting, business analysis and improvement, and learning and workforce development. It has specialist experience in Defence, public services and regulated environments, and works with organisations of every size and sector.

The work is led by Jason Smith, who served 23 years in the Royal Navy before leading learning, training and capability work in healthcare, social housing and on the Ministry of Defence's Digital Skills for Defence programme. He is a DSAT specialist and PRINCE2 Practitioner, and holds CMI Level 6 Leadership & Management and CMI Level 5 Coaching & Mentoring qualifications.

Self-assessment

Take the free Capability Readiness Review online or with the workbook.

Facilitated review

Test your answers against evidence and stakeholder input.

Full diagnostic

Root-cause analysis and an evidence-based improvement plan.

Discuss a challenge: prelude-learning.com/contact · jason.smith@prelude-learning.com

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